NATIONAL LOCAL GOVERNMENT FINANCE COMMITTEE

MANDATE, ACCOMPLISHMENTS AND PLANS

July 2020

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NLGFC

MANDATE, ACCOMPLISHMENTS AND PLANS

1.0 Introduction

The National Local Government Finance Committee (NLGFC) is a constitutional body established under Section 149 of 1994 of the republican constitution and Local Government Act, 1998 Sec. 45. The current NLGFC is a result of the Public Sector Reforms recommendations to merge the old NLGFC and the Local Development Fund (LDF). The merge was effected on 1st April, 2018. The merge eliminated replications and overlaps. This is expected to enhance effectiveness and efficiencies in service delivery at Local Government level.

2.0 NLGFC Powers and Functions

The NLGFC has the following functions and Powers –Section 149; Section 2 of the Constitution of Malawi.:

i. Receive all estimates of revenue and all projected budgets of all local government authorities;

ii. Supervise and audit accounts of local government authorities, in accordance with any Act of Parliament, Assembly, subject to the recommendations of the Auditor General;

iii. Make recommendations relating to the distribution of funds allocated to local government authorities, and vary the amount payable from time to time and area to area according to, and with sole consideration of, economic, geographic and demographic variables;

iv. Prepare a consolidated budget for all local government authorities and estimates after consultation with the Treasury, which shall be presented to the National Assembly by the Minister responsible for Local Government before the commencement of each financial year; and

v. Make application to the Minister for supplementary funds where necessary and duty to provide adequate resources for local government functions

These powers and functions are also reflected in the Local Government Act of 1998.

3.0. Mandate and Vision

The NLFGC is mandated to "facilitate fiscal decentralization, financial management and development in local governments". The Vision of NLGFC is to "have fiscally decentralized, transparent and accountable LAs that deliver quality services".

Implementation of the mandate and vision is driven by five Key Result Areas, namely:

- Local Government Fiscal Resource Mobilization and Allocation;
- Local Government Budgeting;
- Local Government Resource Management Support;
- Strategic Leadership and Management

The Ministries of Finance, Economic Planning and Development and Local Government and Rural Development provide the policy guidance.

4.0 Major Accomplishments

The NLGFC continues to ensure that its mandate is delivered effectively at the Local Government level. The major accomplishments in the 2019/2020 Fiscal year include:

4.1 Local Government Fiscal Resource Mobilization and Allocation

To ensure adequate and equitable allocation of fiscal resources to Local Governments. For the 2019/2020 fiscal year, funds transferred to LAs were as follows:

i. MK39.19billion in Central Government Transfers disbursed to 35 LAs in the 2019/2020 fiscal year.

ii. MK27.09billion in devolved Sector Grants transferred to 18 sectors

iii. MK12.09billion transferred to LAs for capital projects

iv. MK15.6billion disbursed for drugs and Vaccines. These funds are disbursed directly to Central Medical Stores.

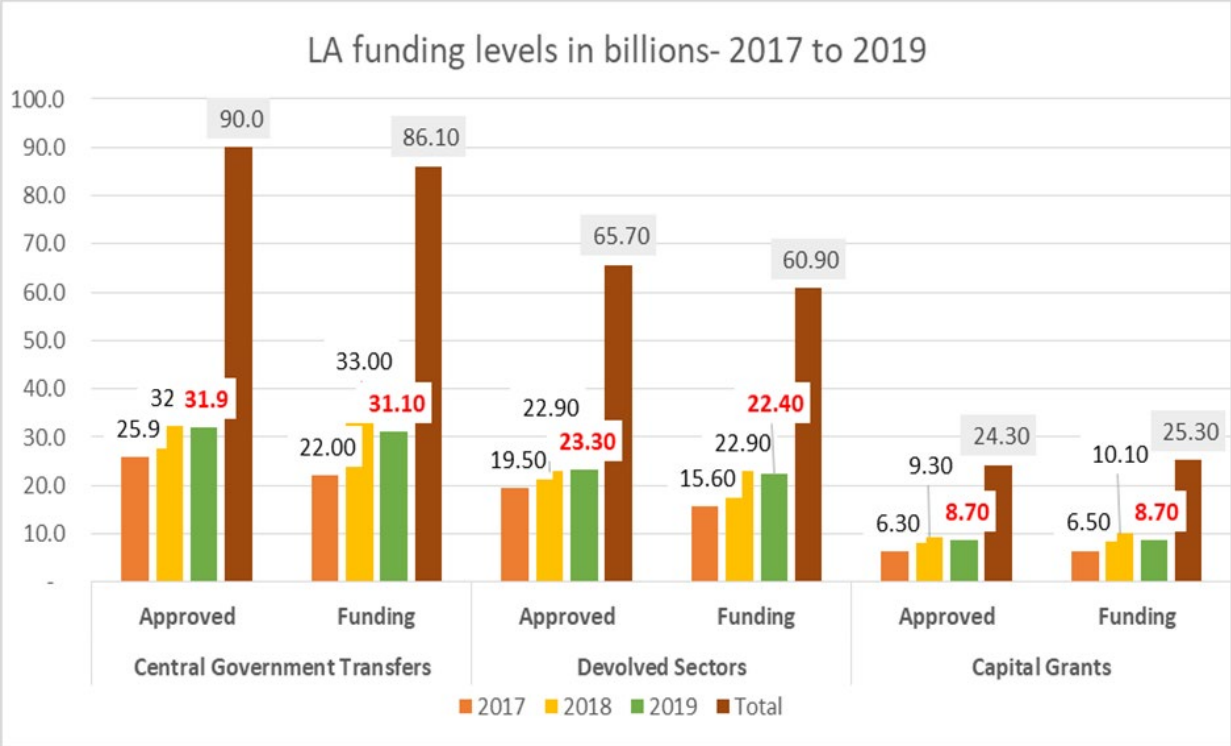
v. MK10.4billion disbursed to LAs for Social Cash Transfers in 11 World Bank funded district councils (Karonga; Rumphi; Nkhata Bay; Kasungu; Ntchisi; Dowa; Nkhotakota; Lilongwe; Dedza; Blantyre; and Chiradzulu);

vi MK610.2 million disbursed under the Enhanced Climate Smart Public Works programme to 10 pilot councils of Chitipa; Karonga; Nkhotakota, Dowa, Lilongwe; Kasungu; Phalombe, Blantyre, Chiradzulu and Balaka.

Analysis of three fiscal years portrays improved funding levels in 2018/2019 fiscal year. A slight drop in funding against approved levels was experienced in 2019/2020 except for the capital projects that were funded at 100%.

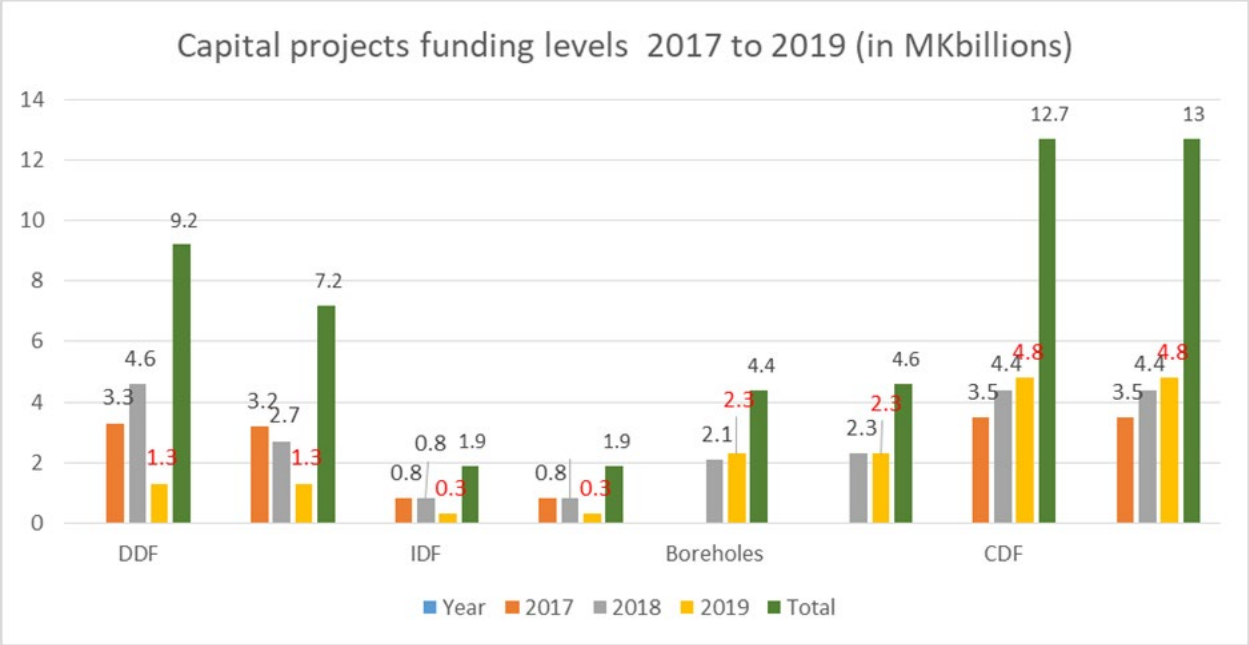
Although funding for capital projects was done at 100%, timeliness of funding remained an issue over the whole period as substantial amount of funds were released during the last quarter of the fiscal year. This challenged LAs timely delivery of project outputs.

Figure 1: LA funding levels from 2017 to 2020 in MK' billion



Nevertheless, funding for capital projects varied across the programmes, with Constituency Development Fund (CDF) and Infrastructure Development Fund (IDF) consistently funded to 100% across the three years, while District Development Fund (DDF) was funded to 100% in 2019/2020 fiscal year only. Figure 2 below, highlights the funding performance across capital projects.

Figure 2: Capital projects funding levels-2017 to 2019 (MK' billions)



4.2 Local Government Budgeting

Facilitate responsiveness and technical soundness of Local Government planning and budgeting for service delivery.

- i 2020/21 Budget Guidelines to Councils disseminated
- ii Enhanced 2019/2020 adherence to Council budget guidelines
- iii Technical Review and consolidation of the 2020/21 Council Budgets.

4.3 Local Government Resource Management Support

Support improved capacities in LAs for management of Local Resources, for effective resource use and accountability:

- i Consolidated Local Authority Quarterly Financial Reports for 2019/20 into the National Government Expenditure Accounts.
- ii Achieved for the first time, a 100% submission rate of LA final accounts, due to increased technical support to LAs by the NLGFC.
- iii Enforcement of IFMIS utilization: Set up and operationalised the Local Authority IFMIS help desk; refresher trainings-LA Secretariat and Internal auditors;
- iv Capacity building of LAs' Accounts personnel on production of financial reports and financial statements;
- v Enhanced liquidation of disbursed resources;

vi Provision of technical support to Councils towards resolving Audit queries;

vii Facilitating multiple investigative audits in the Councils..

4.4 Local Development

Improve local well-being through social cash transfers, public works, livelihoods and skills development; and urban development.

i Social Cash Transfers (SCT) targeting poor and vulnerable households: Disbursement of MK8.9 billion in SCT reaching out to 126,581 beneficiary households in 11 World Bank funded Local Authorities. These are: Karonga; Rumphi; Nkhata Bay; Kasungu; Ntchisi; Dowa; Nkhotakota; Lilongwe; Dedza; Blantyre; and Chiradzulu.

Climate Smart Enhanced Public Works Program

Pine plantation in Rumphi, mlumang'ombe

ii Piloting of climate smart Enhanced Public Works Program (EPWP): Currently piloting EPWP in 10 districts, targeting 1,000 beneficiaries in each district. The pilot is expected to enhance the effectiveness of the Public Works programme in addressing degraded environmental hot spots as well as improving resilience of beneficiary livelihoods. The pilot districts include: Chitipa; Karonga; Nkhotakota, Dowa, Lilongwe; Kasungu; Phalombe, Blantyre, Chiradzulu and Balaka. The districts were selected based on availability of Unified Beneficiary Registry to facilitate selection of beneficiaries.

iii Improved linkages between SCT and Public Works beneficiaries with Livelihoods and Skills development: This has led to increased graduation from safety net dependence. To date, 530 clusters/ cooperatives have received grants for various value addition interventions.

a. **Group and savings mobilization and strengthening:** A total of MK6.8 billion has been recorded in savings ledgers by a combined 18,453 groups with a membership of 195,991 people. Of these members, 65% are women. The strengthening and capacity building for these cooperative unions has been championed by COMSIP

b. **Graduation Pathways: A total of 150 households** in Nkhatabay and Dedza have accessed assets for the graduation pathways and their performance indicates that they are on course.

c. **Overall contribution to poverty reduction**

- Members have been involved in several diversified group business activities namely: piggery, poultry, legume production, irrigation farming, bakery, honey production, rice farming, vegetable farming, soap production, candle making and various trading activities.
- Some groups have been supported with construction of factory shelters that are used for production and processing of products through value addition in order to access better markets thereby increasing the proceeds from the group businesses and improving individual livelihoods.
- The group businesses have also assisted in providing employment to some community members who are able to earn a living through the wages.
- The individual IGAs earn beneficiaries income and also assist the household through improved food security, health, children and adult education.

Social Protection Interventions

Social Cash Transfer

iv Improved targeting for Social Protection interventions in Malawi: Facilitated development and sustained usage of the Social Registry

(Unified Beneficiary Registry). The Unified Beneficiary Registry (UBR) has a total of 1,478,750 households registered across 19 districts in Malawi. The UBR, as a national platform for targeting the poor and vulnerable has been instrumental in providing data to various institutions. These include: Ministry of Gender; World Food Program (DODMA); ID Insight; Care Malawi International; International Labor Organization (Malawi Office); United National Development Program; and the National Planning Commission.

v. Construction of economic infrastructure: The following infrastructure projects have been initiated, particularly markets: in Lunzu (Blantyre); Sadzi (Zomba); Nkhatabay market (Nkhata Bay); Goliati (Thyolo); Dyeratu (Chiradzulu); Chinkhoma (Kasungu); Neno market extension (Neno) and Embangweni (Mzimba).

vi. Completed and operational Infrastructure: Karonga Stadium, Nkhata Bay Bus depot; Kasungu Stadium; Ntcheu Depot, Mangochi Stadium; Machinga Office; Chiradzulu Offices; Mulanje Stadium and Neno Market. These projects have contributed towards increased local revenue generation and improved working environment in the LAs.

4.5 Strategic Leadership and Management Strategic leadership and management strengthened.

Strategic leadership and management strengthened.

i. NLGFC Strategic Plan developed

ii. A board constituted and awaiting orientation

iii. Review of NLGFC Bill

iv. Resource mobilization efforts:

a. **World Bank: Malawi Social Support for Resilient Livelihoods (MSSRL) Project.** Facilitated Mobilisation of US$185m of which US$125m is readily available. Project Approved by Parliament and is effective. These resources are expected to finance:

- Social Cash Transfer Programme (SCTP);
- Climate Smart Enhanced Public Works Programme (PWP) and Livelihood support;
- Improve resilience among the poor and vulnerable population and
- Strengthen the national platform for safety nets in Malawi.

b. **World Bank: Governance to Enable Service Delivery (GESD) project.** A total of US$100m has been mobilized. Project shall become effective between July and September 2020 dependent on

Parliamentary approval. The Project is intended to strengthen core national and Local Government institutions to improve efficiency, equity and accountability of public resources for devolved services.

c. **FAO: Climate Smart EPWP**, with US$6million mobilized. It targets three district councils, namely: Balaka; Mangochi and Ntcheu.

v **Increased confidence of Development Partners:** Following the successful merger with the LDF-TST, the NLGFC continues to attract increased support from development partners. Apart from traditional donor partners other non-traditional ones are indicating strong commitment to use the NLGFC as a fiduciary agent.

vi **Towards improvement in management of councils:** The NLGFC facilitated preparation of institutional management handbook for use by LAs across Malawi. The handbook shall enhance knowledge and promote adherence to council management procedures and principles.

vii **Communication building blocks established:** A functional website has been established at www.nlgfc.gov.mw. In addition, a Facebook Page, Communication Strategy, Communication Committee, Communication Guidelines, Newsletter, Twitter and You Tube channel, have been established. These are channels promoting the NLGFC projects and generic activities leading to increased visibility. This strategy is anticipated to lead to a positive critical mass in awareness and knowledge on roles and functions of the NLGFC.

viii **Fiduciary agent for LA drug budget:** Disbursements done at 100%. These disbursements are for DHO and vaccines for LAs through the Central Medical stores.

5.0 Major Challenges

The following challenges affected delivery in one way or the other of the NLGFC mandate and the expanded functions:-

i Absence of an enabling NLGFC ACT has limited the autonomy and effectiveness in delivering the NLGFC expanded functions and mandate.

ii Inadequate budget provision for most of the functions for the devolved sectors.

iii Inadequate office space

6.0 Way Forward

The NLGFC shall endeavor to deliver the following annual plans for the 2020/21 Fiscal Year.

1 Local Government Fiscal Resource Mobilization and Allocation

- **i.** Review of Intergovernmental Fiscal Transfer Formula to strengthen objectivity and transparency in resource allocation;
- **ii.** Facilitate development of Fiscal Decentralisation Strategy;
- **iii.** Disbursement of MK8.5billion towards capital projects in LAs (DDF; IDF; CDF and Borehole fund);
- **iv.** Lobby for timely funding of District Development Fund (DDF) resources;
- **v.** Disbursement of MK16.3billion towards Social Cash Transfers and MK1.3billion for Climate Smart Public Works programme..

2 Local Government Budgeting

- **a.** Undertake Council Budget Expenditure Tracking;
- **b.** Facilitate Council Budget review;
- **c.** Develop and Disseminate budget guidelines for 2021/2022 to LAs;
- **d.** Publication of funding figures..

3 Local Government Resource Management Support

- **a.** Roll out Local Authority Annual Performance Assessment (LAPA);
- **b.** Re-enforce effective and accountable use of fiscal resources in Local Governments, through among other things, ensuring IFMIS utilization in all LA financial transactions; facilitating resource liquidations; and timely production of final accounts;
- **c.** Enhance achievement of Clean Audits.

4 Local Development

- **a.** Improve local livelihoods through Social Cash transfers, Public works, Livelihoods and Skills Development. This includes payment of Social Cash Transfers to 128,000 vulnerable households; payment of wage earnings to 10,000 EPWP beneficiaries; and formation of 870 savings and loan groups through COMSIP, among others.
- **b.** Support Socio-economic infrastructure development through construction of various markets and these include: Lunzu; Sadzi; Nkhata Bay; Goliati; Dyeratu; Chinkhoma; Embangweni; and Neno markets.

5 Strategic Leadership and Management

a. Finalise draft NLGFC Bill;

b. Support development of a harmonised and web-based helpdesk and toll-free complaints and feedback platform for projects;

c. M&E system development, complete with web-based data base;

d. Post procurement Review in all councils;

e. Documentation publishing and sharing of Success stories, lessons learnt; best practices and launch of an NLGFC app for mobile gadgets.